Capital Market Expectations, Asset Allocation, and Safe Withdrawal Rates

While still within the realm of exploring classical studies about sustainable spending, we should look at an alternative way to frame the results and analysis. That is, rather than asking for the probability of success associated with a particular withdrawal rate, we could also calculate the highest sustainable withdrawal rate linked to a particular probability of success. This discussion is based on my article “Capital Market Expectations, Asset Allocation, and Safe Withdrawal Rates,” which was published in the January 2012 issue of the *Journal of Financial Planning*.

There, I presented results for Monte Carlo simulations based on the same historical data that has guided my discussion thus far. For various retirement durations and acceptable failure rates, this method provides details about maximum sustainable withdrawal rates and optimal asset allocations.

Exhibit 4.7

Sustainable Withdrawal Rates Allowing for 10% Failure Probability

For a 30-Year Retirement, Inflation Adjustments

Efficient Frontier Based on SBBI Data, 1926–2016, S&P 500 and Intermediate-Term Government Bonds